FREE FINANCING REPORT

Self-Storage Financing Report

Why This Sector Remains Financeable Through a Supply-Driven Soft Patch, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

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Why Sponsors Pursue Self-Storage Financing

Self-storage has spent the past two years absorbing a wave of new supply, and 2026 is shaping up as the year that pressure finally starts to ease. That combination — new competitive supply pulling back meaningfully, occupancy holding near 90% even through the soft patch, and a deep bench of active lenders across banks, life companies, and specialized capital — is exactly why self-storage financing remains a viable, well-supported category for experienced operators.

- **New supply pressure is genuinely easing.** Properties facing new competitive supply fell to just 8% in 2025, with operators expecting that figure to decline further to roughly 6% in 2026.
- **Occupancy has held up despite the supply wave.** Average occupancy across major self-storage REITs ran approximately 89.9% in Q4 2025, a resilient level given the volume of new competition absorbed over the past several years.
- **Institutional consolidation signals confidence in the sector.** Public Storage's pending acquisition of National Storage Affiliates, valued at approximately $10.5 billion, is one of the largest self-storage transactions on record.
- **New development is becoming structurally harder.** Public Storage management describes new development as "becoming harder and more expensive nationally," particularly in high-barrier urban markets, which supports the value of existing, well-located facilities.
- **A deep, diversified lending market remains active.** Banks, life companies, CMBS, agency-backed sources, and specialized self-storage and bridge lenders all continue funding the sector despite elevated borrowing costs.

That said, this remains a soft operating environment for many facilities. Same-store revenue growth ran nearly flat and same-store NOI actually declined in Q4 2025, with rental rates down year-over-year. Lenders are underwriting trailing performance and operator experience closely — well-managed, well-located facilities continue to finance far more easily than newer, lease-up, or overbuilt-market assets.

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2026 Market Outlook for Self-Storage Financing

Self-storage enters 2026 working through the tail end of a multi-year supply wave, with early signs that the worst of the pressure is behind the sector even as trailing operating metrics remain soft. The following figures outline where the market stands:

- Operating performance remained under pressure through year-end 2025: average occupancy across major self-storage REITs ran approximately 89.9% in Q4 2025, same-store revenue growth was nearly flat at 0.1%, same-store NOI declined 1.2%, and rental rates fell 0.8% year-over-year.

  Source: Capright, Self-Storage REIT Update, June 2026

- The gap between advertised and in-place rents has widened dramatically: the spread between contract rents and street rents expanded from 11% in 2020 to 69% in Q4 2025, reflecting aggressive move-in discounting even as operators continue pushing existing-customer rate increases (ECRIs) to offset compressed street pricing.

  Source: Capright, June 2026, citing Public Storage data

- New competitive supply pressure is genuinely easing: the share of properties facing new competitive supply fell to 8% in 2025, with management teams expecting roughly 6% in 2026, as new development becomes structurally harder and more expensive, particularly in high-barrier urban markets.

  Source: Skyview Advisors, Q1 2026 Self-Storage Industry Report

- Regional performance varies significantly: Sunbelt markets continue to face oversupply pressure while gateway markets are stabilizing due to entitlement constraints, with New York rents running as high as $33.62 per square foot — the highest nationally — while markets like Atlanta see elevated concessions and the lowest advertised rents in the sector.

  Source: Capright, June 2026

- Institutional capital continues to consolidate the sector: Public Storage's planned acquisition of National Storage Affiliates is valued at approximately $10.5 billion, with management describing recent transactions clearing at cap rates in the sub-5% to mid-5% range for premium assets.

  Source: Skyview Advisors, Q1 2026

- Financing remains available but reflects elevated costs: current fixed rates for conventional self-storage loans run roughly 6.76% to 7.06% depending on term, with maximum leverage up to 75% LTV conventional (up to 90% for SBA owner-operators), a typical minimum DSCR of 1.25x to 1.35x, and SBA alternatives (504 at approximately 6.03%, 7(a) at approximately 6.75%) offering lower rates with more flexible underwriting for owner-operators.

  Source: SelectCommercial, August 2026

Bottom line for 2026: This is a sector working through the tail end of a supply-driven soft patch — occupancy and NOI softened through 2025, but new competitive supply is

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Critical Financing Metrics for Self-Storage Properties

Lenders in this space underwrite occupancy quality and rate trend as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Physical and Economic Occupancy**
   Trailing occupancy on both a physical (units rented) and economic (net of concessions and delinquency) basis. Property-level trend relative to the national benchmark matters most. ~89.9% national REIT-level occupancy

2. **Street Rate vs. In-Place Rent Trend**
   The gap between current advertised street rates and in-place contract rents. This spread has widened substantially industry-wide, making it a key underwriting focus.
   spread widened from 11% (2020) to 69% (Q4 2025)

3. **Same-Store Revenue and NOI Trend**
   Trailing revenue and NOI growth relative to the prior year, particularly important given flat-to-negative same-store performance across major operators recently.

4. **Unit Mix and Facility Features**
   Climate-controlled percentage, drive-up access, security features, and ancillary income sources (tenant insurance, retail sales).

5. **Operator and Management Experience**
   Documented self-storage operating experience, either directly or through a proven third-party management company.

6. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service. 1.25x–1.35x typical minimum

7. **Loan-to-Value**
   Leverage available through conventional and SBA channels.
   up to 75% LTV conventional; up to 90% SBA

These metrics form the practical filter that separates self-storage financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Trailing 12-month operating statements are organized and current
- [ ] Current rent roll or unit-mix report showing occupancy, rates, and unit types is documented
- [ ] Physical and economic occupancy history is prepared
- [ ] Comparison of street rates vs. in-place rents is available
- [ ] Property details (climate-controlled percentage, drive-up access, security, site layout) are ready
- [ ] Market and competition analysis is gathered
- [ ] Management company or operator experience is summarized
- [ ] Existing debt schedule, entity documents, and borrower/sponsor liquidity information are current

Common Reasons Self-Storage Financing Requests Underperform or Get Declined

- Missing occupancy and rent data
- Weak or inconsistent operating history
- Lack of relevant management or operator experience
- Unaddressed widening gap between street rates and in-place rents
- Submitting to lenders unfamiliar with self-storage underwriting

Final Perspective

Self-storage financing in 2026 sits inside a sector working through a genuine supply-driven soft patch — occupancy and same-store NOI softened through 2025, but new competitive supply is easing and institutional capital is consolidating around the belief that fundamentals have bottomed. The facilities that finance most easily are the ones with a documented, defensible occupancy and rate trend, not just favorable industry-level headlines.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing occupancy data, weak operator experience, and mismatched lenders are among the most common reasons otherwise solid self-storage financing requests lose time, money, and momentum.

YOUR NEXT STEP

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